

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

MARINE TRANSPORT LOGISTICS, INC., *Complainant*

v.

CMA CGM, S.A., *Respondent*.

DOCKET NO. 22-23

Served: March 28, 2023

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER ON RESPONDENT’S MOTION FOR LETTER OF REQUEST AND EXTENSION OF TIME

On March 9, 2023, Respondent CMA CGM, S.A. (“CMA”) filed a motion (“Motion”) seeking (1) an extension of time to respond to a request for production of documents from Complainant Marine Transport Logistics, Inc. (“MTL”) and (2) a Letter of Request to French authorities under the Hague Evidence Convention. On March 15, 2023, MTL filed a response to the motion (“Response”). On March 16, 2023, CMA filed a motion for leave to reply (“Reply”), disputing MTL’s Response and offering to provide a memorandum from a French law firm explaining French law.

CMA summarizes its arguments:

The basis of this Motion, elaborated below, is that the documents responsive to Complainant’s Request are subject to a French law that requires review by the appropriate French authorities of all documents proposed to be submitted in a proceeding before the FMC, enforceable by criminal penalties, including fines and imprisonment. CMA fully intends to produce documents to Complainant but is required to first comply with the procedures and strictures of French law. CMA also fully expects that the French authorities will permit the documents to be produced to MTL, and that 30 days should be sufficient both to follow the processes required by French law and to give the French authorities an opportunity to rule.

Motion at 1 (footnote omitted). CMA attaches a letter from the Ministry of Finance in France.

MTL contends that CMA promised “that if I stipulate to removing CMA-CGM (America), LLC from this case, that such would not impact discovery in this case” and that “Putative Respondent CMA agrees (for this proceeding only) to forego the formalities of the Hague Convention and make a general appearance.” Motion at 1. MTL further alleges:

After I consented to the above-referenced motion to substitute respondents and served requests for documents, CMA's counsel announced that the French authorities are saying that every one of my requests for documents is subject to their approval, meaning that the French government will decide which documents are appropriate for the Commission to determine if the Shipping Act of the United States was violated.

Response at 1. MTL further asserts:

CMA has not produced a single document in response to MTL's first request for documents. For example, at a minimum, they could have provided copies of demurrage invoices and communications with the consignee as to such. It surely cannot be argued that demurrage related documents on the subject containers poses a threat to France's sovereignty.

Response at 3 (citation omitted). In addition, MTL asserts that the delay will impact other deadlines in the proceeding. Response at 3.

In its motion for leave to reply, CMA asserts that it only agreed to waive the Hague Convention requirements for service of process with respect to the Amended Complaint; "French law on the production of documents would still apply" even if CMA-CGM (America), LLC "was still a respondent (or even the only respondent);" counsel for Respondent only learned about the application of French law to this proceeding on March 1, 2023; and even though French law may not bar the production of the requested documents, the French law requires that French authorities be permitted to review the documents in advance of production. Reply at 1-5.

Generally, a reply is not permitted for a non-dispositive motion. In addition, a motion for leave to file the reply often attaches the proposed reply. Here, the motion includes arguments that would presumably be a significant portion of the reply. Therefore, another filing is not required. The motion for leave to file a reply will be accepted as the reply. There is no need for additional filings to decide this issue.

This proceeding was filed against CMA-CGM (America), LLC ("CCA") on September 7, 2022, and has been pending for over six months. The amended complaint, adding CMA CGM, S.A., was served on December 9, 2022. On December 29, 2022, an order was issued amending the case caption and granting a joint motion to remove CMA CGM (America) LLC and instead indicate that the Respondent is CMA CGM, S.A. The order stated that:

As part of the joint Motion, CMA agrees that, as the parent of its agent CCA, it will be liable for the actions of CCA and for any reparations or other relief that may be awarded by the FMC in this proceeding and to make available any discovery sought regarding actions by CCA.

Order Granting Joint Motion for Substitution of Respondents and Modification of Deadline for Answer at 1. Respondent does not deny that it has failed to provide any discovery at all, six months into the proceeding.

This proceeding involves alleged violations of the United States Shipping Act of 1984 for eight containers, shipped by New Jersey-based MTL. MTL requested five containers be rerouted from the Port of Odessa (Ukraine) to the Port of Bremerhaven (Germany) due to the conflict in Ukraine, but they were delivered or delayed at the Port of Constanta (Romania). The other three containers were rolled and their destination is not clear, other than a reference to Libya. The Amended Complaint alleges:

Respondents violated Section 41102(c) of the Shipping Act in that such respondents failed to establish, observe, and enforce just reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivery of property by failing to follow shipping instruction; by failing to timely advise MTL of any perceived shipping issues leading to increased demurrage charges; by failing to respond in a reasonable manner to timely filed disputes, which caused an increase in the demurrage charges; failing to timely process Change in Destination in a manner that would avoid demurrage/storage/detention charges, which would allow for the release of the subject containers; by failing to provide timely, accurate and complete accounting of demurrage/storage/detention charges; and by failing to include accurate aspects of such charges in the service contract as provided by CMA.

Amended Complaint at 9.

The parties have not provided the discovery requests at issue. However, it is likely that the requested discovery would include bills of lading, emails, and other transportation documents related to these eight containers. It appears that these containers were at ports in the United States, Romania, Germany, and Libya. Moreover, Complainant is an American company which primarily interacted with another American company, CMA CGM (America) LLC, to arrange shipment from an American port. Thus, many of the documents were likely prepared by and delivered to people in the United States. At no point is it alleged that the containers were in France or even that French residents were involved with the shipments.

CMA is arguing that *all* discovery relevant to administrative litigation adjudicating alleged violations of the United States' Shipping Act must be reviewed by French authorities because the requested documents "are owned by CMA and reside on servers located in France." Reply at 2; *see also* Motion at 4. The relevant discovery would include emails, bills of lading, and transportation documents sent from and received by entities in the United States. CMA does not provide citations to American case law supporting such a broad assertion. Indeed, in *De Fernandez v. CMA CGM S.A.*, the United States District Court for the Southern District of Florida denied CMA CGM (America) LLC's Motion to Stay Proceedings Pending International Request. 2022 U.S. Dist. LEXIS 123083, 2022 WL 2713737 (S.D. Fla. 2022).

The party seeking to pursue discovery through the Hague Evidence Convention bears the burden of demonstrating that proceeding in that manner is necessary and appropriate. *Luminati Networks v. Code200*, 2021 U.S. Dist. LEXIS 128634, at *10 (E.D. Tex. 2021). A party seeking an order to apply Hague Convention procedures in lieu of the procedures set forth in the Federal Rules of Civil Procedure must demonstrate that a specific foreign law "actually bars the production or testimony at issue." *Alfadda v. Fenn*, 149 F.R.D. 28, 34 (S.D.N.Y. 1993). The

Supreme Court has held “that the Hague Convention did not deprive the District Court of the jurisdiction it otherwise possessed to order a foreign national party before it to produce evidence physically located within a signatory nation.” *Societe Nationale Industrielle Aerospatiale v. United States Dist. Ct. for S. Dist.*, 482 U.S. 522, 539-40 (1987).

In *Aerospatiale*, the Supreme Court identified five factors “relevant to any comity analysis”:

- (1) the importance to the litigation of the documents or other information requested;
- (2) the degree of specificity of the request;
- (3) whether the information originated in the United States;
- (4) the availability of alternative means of securing the information; and
- (5) the extent to which noncompliance with the request would undermine important interests of the United States, or compliance with the request would undermine important interests of the state where the information is located.

Aerospatiale, 482 U.S. at 544 n.28.

All of the *Aerospatiale* factors weigh in favor of denying CMA’s request. The discovery is important to the litigation, especially as no documents at all have been provided. Relevant discovery is necessary for MTL to pursue its claim and CMA’s request to block all discovery related to these containers is overbroad and not narrowly tailored. There is no indication in the record that the discovery originated in France or was created by French citizens. CMA is a party to this proceeding, is an FMC-regulated entity, and is the most appropriate entity to provide these documents, although its American subsidiary could also provide the documents. Perhaps most importantly, noncompliance with the request would undermine important interests of the United States. Therefore, CMA has not established that the Hague Evidence Convention procedures are necessary and appropriate in this proceeding. Accordingly, CMA’s motion for compliance with those procedures and request for a Letter of Request is hereby **DENIED**. CMA is hereby ordered to provide responses to MTL’s discovery requests by April 12, 2023.

Respondent CMA has voluntarily chosen to conduct business in American ports and is regulated by the Federal Maritime Commission. Parties appearing before the Commission are entitled to relevant evidence needed to prosecute their cases. Failure to provide discovery may result in procedural sanctions, from an inference that the discovery would have been adverse to Respondent’s interests to a decision on default. See *Kawasaki Kisen Kaisha, Ltd. v. The Port Authority of New York and New Jersey*, Docket 11-12, 2014 FMC LEXIS 36, at *14-18 (Order Affirming Dismissal of Complaint for Complainant’s failure to provide discovery) (FMC Nov. 20, 2014); *MCS Industries, Inc. v. COSCO Shipping Lines Co.*, Docket No. 21-05, 2023 FMC LEXIS 26, at *43 (Initial Decision on Default) (ALJ Jan. 13, 2023); *Jamteck Int’l Shipping, Inc. - Possible Violations of the Comm’n’s Regulations at 46 C.F.R. Part 515*, Docket No. 07-09, 2009 FMC LEXIS 42, *6-7 (ALJ July 27, 2009) (Admin. final on August 31, 2009) (referencing

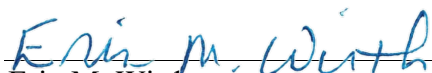
order that an inference adverse to Respondents be drawn as a consequence of Respondents' failure to respond to discovery).

MTL did not serve its motion until the day that initial written discovery requests responses were due, although it stated that discovery could still be completed by June 19, 2023. As the date for initial discovery responses has passed, the discovery schedule will be modified. Even with CMA's delayed discovery, discovery can still be completed by June 19, 2023, so the briefing schedule will not be modified. Moreover, given the limited number of containers and issues in this proceeding, it is reasonable to shorten the amount of time permitted for discovery.

The parties are hereby **ORDERED** to follow this revised schedule:

April 12, 2023	Parties serve responses to initial written discovery requests.
April 19, 2023	Depositions begin.
April 26, 2023	Respondent provides expert report(s), if any.
May 5, 2023	Last day to serve written discovery requests.
May 26, 2023	Parties serve responses to final written discovery requests.
June 18, 2023	Depositions completed.
June 19, 2023	Discovery ends.
July 19, 2023	Complainant files brief, proposed findings of fact, and appendix.
August 16, 2023	Respondent files opposition brief, responses to proposed findings of fact, proposed findings of fact, and appendix.
August 31, 2023	Complainant files reply brief and responses to proposed findings of fact.

The parties are reminded that a "scheduling order 'is not a frivolous piece of paper, idly entered, which can be cavalierly disregarded by counsel without peril.'" *Johnson v. Mammoth Recreations, Inc.*, 975 F.2d 604, 610 (9th Cir. 1992) (quoting *Gestetner Corp. v. Case Equipment Co.*, 108 F.R.D. 138, 141 (D. Me. 1985)). Moreover, "[p]arties cannot control an agency's docket or procedures through agreement among themselves." *Simmons v. United States*, 698 F.2d 888, 893 (7th Cir. 1983). The authority of courts to control their dockets is well settled. *Link v. Wabash Railroad Co.*, 370 U.S. 626, 630-31 (1962); *United States v. Hughey*, 147 F.3d 423, 429 (5th Cir. 1998).


Erin M. Wirth
Chief Administrative Law Judge